

# Parliament and Financial Procedure - The Foundation Track

Chapter F1.5 — From Zero: The Two Houses, How a Law Is Made, and Where the Money Actually Comes From

|            |                                                                          |
|------------|--------------------------------------------------------------------------|
| Module     | Foundation Layer — Module 1 — Indian Polity, Constitution and Governance |
| Chapter    | Chapter F1.5                                                             |
| Topic      | Official syllabus head 1 — Indian Polity, Constitution and Governance    |
| Version    | v1.0                                                                     |
| Compiled   | 13 August 2026                                                           |
| Exam stage | Recruitment Test (RT)                                                    |

## NOTE · HOW TO USE THIS DOCUMENT

The chapter about the body that made the EPF & MP Act 1952 you administer. It starts with why India has two Houses of Parliament, the composition of Rajya Sabha (Council of States, 250 maximum) and Lok Sabha (House of the People, 552 maximum with the 84th Amendment freeze), the tenure and dissolution rules, and the officers who preside. It then works through the LEGISLATIVE PROCESS - reading, committee stage, debate, voting, and the joint sitting under Article 108. It takes MONEY BILLS separately as the highest-value distinction in this chapter, distinguishing them from Financial Bills of the two types and from Ordinary Bills, and explains the Speaker's certification power that decides the question. It covers the ANNUAL BUDGET as a full sequence - presentation, general discussion, demands for grants, appropriation bill, finance bill - and the different consolidated funds. It closes on parliamentary committees, the privileges of members, and how a citizen's writ under Article 226 challenging an APFC's order eventually rests on statutes that this body passed. Study time 3 hours.

*This is the FOUNDATION layer. Constitutional provisions, article numbers and procedural timings are as at August 2026. Current seat counts, the number of MPs from a State, and the composition of specific committees are notified figures that change and are marked CONFIRM where relevant. The Compact Module 1 remainder volume covers this territory in revision form; the Foundation chapter teaches from zero.*

# Table of Contents

|                                                                             |           |
|-----------------------------------------------------------------------------|-----------|
| <b>0. Why Parliament Is Where This Manual Started</b>                       | <b>3</b>  |
| <b>1. Session 1 - The Two Houses ★★★★★</b>                                  | <b>4</b>  |
| 1.1 Why India has bicameralism                                              | 4         |
| 1.2 Rajya Sabha - the Council of States                                     | 4         |
| 1.3 Lok Sabha - the House of the People                                     | 5         |
| <b>2. Session 2 - How a Bill Becomes an Act ★★★★★</b>                       | <b>8</b>  |
| <b>3. Session 3 - Money Bills, Financial Bills and Certification ★★★★★</b>  | <b>11</b> |
| <b>4. Session 4 - The Budget Sequence ★★★★★</b>                             | <b>14</b> |
| <b>5. Session 5 - Committees, Privileges, Connection to Your Desk ★★★★★</b> | <b>16</b> |
| <b>6. Graded Practice - 42 Questions ★★★★★</b>                              | <b>19</b> |
| 6.1 Level 1 - Recognition                                                   | 19        |
| 6.2 Level 2 - Understanding                                                 | 20        |
| 6.3 Level 3 - Recruitment Test standard                                     | 21        |
| <b>7. Answers and Explanations</b>                                          | <b>22</b> |
| 7.1 Level 1                                                                 | 22        |
| 7.2 Level 2                                                                 | 23        |
| 7.3 Level 3                                                                 | 24        |
| <b>8. One-Minute Revision</b>                                               | <b>25</b> |
| <b>9. Five-Minute Wall Sheet</b>                                            | <b>28</b> |

# 0. Why Parliament Is Where This Manual Started

You are being recruited by a statutory body, exercising a statutory power, subject to statutory appeal - and every one of those statutes came from this building.

## WHY THIS EXISTS · PARLIAMENT IS NOT A TOPIC; IT IS THE SOURCE OF YOUR JOB

Recall from F1.4 the chain the Foundation manual keeps returning to. **Article 39, 41, 42 and 43** told the State to secure a living wage and to provide for old age, sickness and disablement. **Part IV was non-justiciable**, so no citizen could sue for a pension. **Parliament therefore had to act voluntarily**, drawing competence from **Concurrent Entries 23 and 24** read with **Article 246**, and it did - the **EPF & MP Act 1952, the ESI Act 1948, the Employees' Compensation Act 1923, the Payment of Gratuity Act 1972** and every other statute in Modules 2 and 3.

**Every one of those Acts is Parliament's product.** Understanding Parliament is therefore not one topic among many but **the source of the authority under which you will act**. When an employer challenges your Section 7A order under Article 226, the court is testing whether you have exercised faithfully the power **Parliament conferred on you**. When the wage ceiling of Rs 15,000 is revised, it will be revised **by a notification under an Act Parliament passed**.

**Two consequences for how this chapter is written:**

- 1 **The legislative process matters practically, not just theoretically.** How a Bill becomes an Act determines whether your parent Act is valid; how an amendment passes determines whether the higher-pension window can reopen; how a Money Bill differs from a Financial Bill determines which House has real power over budget provisions
- 2 **The financial procedure matters directly.** EPFO is a statutory body but its administrative expenses are voted; the Central Government's 1.16% contribution to EPS comes out of the Consolidated Fund; the ELI scheme's outlay was announced in a Budget. **Understanding how Parliament controls the purse is understanding one lever that controls your organisation**

**The 2023 paper drew 12 questions from Polity and Governance, of which several fell in this chapter's territory.** The paper's tests here are compositional (numbers of members, tenures), procedural (which stage does what, what happens on disagreement) and financial (Money Bill vs Financial Bill). This chapter is built to give the numbers, the sequences and the distinctions in that order.

## STUDY SESSION · CHAPTER F1.5 - THE FIVE SESSIONS

- 1 **Session 1** - Why two Houses, and the composition of each (Section 1)
  - 2 **Session 2 - How a Bill becomes an Act:** the seven stages, joint sittings (Section 2)
  - 3 **Session 3 - Money Bills, Financial Bills, and the Speaker's certification** (Section 3)
  - 4 **Session 4 - The BUDGET SEQUENCE** and the Consolidated Fund (Section 4)
  - 5 **Session 5** - Committees, privileges, and how it all connects to your desk (Section 5)
- Then **42 graded questions**. Budget **five sessions**, about **two days**.

# 1. Session 1 - The Two Houses ★★★★★

## 1.1 Why India has bicameralism

### START FROM ZERO · WHAT A BICAMERAL LEGISLATURE IS FOR

Bicameral means TWO chambers. Most large federal or quasi-federal democracies have two - the US Congress (Senate + House of Representatives), the UK Parliament (House of Lords + House of Commons), and India (Rajya Sabha + Lok Sabha). **Some smaller and more homogenous countries have unicameral parliaments** - Denmark, Norway, Sweden - and they function perfectly well. So bicameralism is not universally required; it is a choice that reflects particular political needs.

**India adopted bicameralism for THREE reasons that continue to matter:**

- 1 **Federal representation.** The **Rajya Sabha represents the STATES** as such, with each State's members chosen by its Legislative Assembly. This gives smaller States a voice in national law-making that they would not have in a purely population-based Lok Sabha. **This is why the Rajya Sabha is called the "Council of States"**
- 2 **Continuity and revision.** The Rajya Sabha is a **PERMANENT** body - it is never dissolved, though one-third of its members retire every two years. This gives the legislature institutional memory across changes in the Lok Sabha, and provides a "second look" at legislation that has been passed in the excitement of a Lok Sabha's political mandate
- 3 **Representation of expertise.** Rajya Sabha members can be **NOMINATED for excellence in literature, science, art and social service**, allowing figures who would not stand for popular election to participate in law-making

**Notice what bicameralism is NOT for.** It is not for blocking every unpopular bill. On most matters the Rajya Sabha's ability to obstruct is deliberately limited - it can delay, but rarely outright veto, an ordinary bill from the Lok Sabha. **And on MONEY BILLS the Rajya Sabha's power is severely restricted, deliberately so - the elected chamber controls the purse.** This is the constitutional design point most often tested, and Session 3 works it out.

## 1.2 Rajya Sabha - the Council of States

**MUST MASTER · RAJYA SABHA - THE FULL COMPOSITION**

- 1 **Constitutional maximum: 250 members**
- 2 **Actual strength: 245 members** as constituted (subject to changes in State/UT representation)
- 3 **Composition:**
- 4 **Up to 238** elected from States and Union Territories with legislatures
- 5 **12 nominated** by the President for excellence in **literature, science, art and social service** (Article 80(3))
- 6 **Method of election of the 238: indirect election by proportional representation with the single transferable vote** by the elected members of State Legislative Assemblies
- 7 **Tenure: 6 years** per member, but the House itself is **PERMANENT** - it is never dissolved
- 8 **Rotation: one-third of members retire every 2 years**, so continuous fresh induction and continuous experience run together
- 9 **Qualifications for a member:** citizen of India, at least **30 years old** (contrast Lok Sabha's 25), and other prescribed requirements
- 10 **Number of members from each State:** distributed under the **Fourth Schedule** to the Constitution, roughly proportional to population but with a floor for smaller States

**Officers:**

- 1 **Chairman of the Rajya Sabha:** the **VICE-PRESIDENT of India** (ex officio) - a striking feature, because it means the Vice-President has a legislative role in addition to his constitutional office
- 2 **Deputy Chairman:** elected by the Rajya Sabha from among its members

**One point that surprises candidates the first time: the Chairman (the Vice-President) is NOT himself a member of the Rajya Sabha.** He presides but does not vote in the ordinary way - he has only a **casting vote** in the event of an equality of votes.

**Distribution across the Fourth Schedule matters for a specific 2023-type question:** UP has the largest allocation (31 seats, CONFIRM), reflecting its population, and smaller States and UTs have fewer. **Exact current seat counts change with reorganisations (e.g., after the 2019 J&K change) and are marked CONFIRM.**

## 1.3 Lok Sabha - the House of the People

**MUST MASTER · LOK SABHA - THE FULL COMPOSITION**

- 1 **Constitutional maximum: 552 members**
- 2 **Actual strength: 543 members** as elected currently (subject to future changes)
- 3 **Composition** (constitutional maximum):
- 4 **530 from States**
- 5 **20 from Union Territories**
- 6 **2 from the Anglo-Indian community, nominated by the President** - but **this provision was DELETED by the 104th Amendment in 2020**, so the current effective maximum is **550**
- 7 **Method of election: DIRECT election** by adult suffrage, from single-member territorial constituencies, on the **first-past-the-post** system
- 8 **Tenure: 5 years** normally, but the House **may be dissolved earlier by the President on the advice of the Prime Minister**, and its term may be extended during **National Emergency** by **1 year at a time**, indefinitely renewable
- 9 **Qualifications:** citizen of India, at least **25 years old** (Rajya Sabha requires 30), and other prescribed requirements

**Officers:**

- 1 **Speaker:** elected by the Lok Sabha from among its members; presides over sittings, decides certain constitutional questions (e.g., Money Bill certification - Session 3), and represents the House
- 2 **Deputy Speaker:** also elected by the House; presides in the Speaker's absence

**Constituencies and delimitation:**

- 1 Constituencies are **territorial** - a defined geographical area
- 2 Delimitation - the drawing of constituency boundaries - is done by a **Delimitation Commission**
- 3 The **NUMBER OF SEATS per State was FROZEN by the 42nd Amendment on the basis of the 1971 census**, and the **84th Amendment (2001) extended this freeze until the first census after 2026. So Lok Sabha seats have not been redistributed since 1971 for population purposes**, in order to incentivise States that successfully controlled their population growth. **This is a common examination point**

**One point candidates get wrong.** The 552-max includes the 2 Anglo-Indian nominees. **After their removal by the 104th Amendment (2020), the effective maximum is 550.** But older sources still cite 552; the paper may accept either, and the underlying constitutional provision is 552 with the caveat that 2 seats are no longer filled.

**Reservation of seats:** SCs and STs have reserved constituencies in the Lok Sabha, determined under Article 330 and by Delimitation Commission notifications. **Reservation is on the basis of population proportion in the State, and it is periodic.**

**COMMON UPSC TRAP · RAJYA SABHA VS LOK SABHA - THE SUMMARY THAT ANSWERS MOST QUESTIONS**

| Feature                | Rajya Sabha                                                        | Lok Sabha                                             |
|------------------------|--------------------------------------------------------------------|-------------------------------------------------------|
| Full name              | Council of States                                                  | House of the People                                   |
| Constitutional maximum | <b>250</b>                                                         | <b>552</b> (effective 550 after 2020)                 |
| Method of election     | Indirect (proportional representation)                             | Direct (first-past-the-post)                          |
| Tenure                 | <b>Permanent</b> - individual members serve 6 years                | <b>5 years</b> , dissolvable                          |
| Retirement             | <b>One-third every 2 years</b>                                     | Entire House dissolves                                |
| Presiding officer      | Vice-President of India (Chairman)                                 | Speaker                                               |
| Minimum age            | <b>30</b>                                                          | <b>25</b>                                             |
| Elected/Nominated      | Elected 238 + Nominated 12                                         | Elected + (Anglo-Indian nominees deleted 2020)        |
| Money Bill power       | <b>Limited</b> - cannot amend, only recommend                      | <b>Full</b> - originates and passes                   |
| Confidence motion      | <b>Cannot</b> hold Government to account through confidence motion | <b>Alone</b> can (Government answerable to Lok Sabha) |

**Two distinctions worth stressing:**

- 1 **Only the Lok Sabha can pass a NO-CONFIDENCE MOTION.** The Government is answerable to the Lok Sabha, not the Rajya Sabha. If the Lok Sabha withdraws confidence, the Government must resign; the Rajya Sabha's opinion, however hostile, does not have this effect
- 2 **The Vice-President chairs the Rajya Sabha but IS NOT a member of it.** This distinction (Article 89(1)) is a favourite trap: options asserting "the Vice-President is a member of the Rajya Sabha" are wrong

**CHECK YOURSELF · SESSION 1**

- 1 State three reasons for bicameralism in the Indian context
- 2 Give Rajya Sabha's constitutional maximum, composition, method of election, tenure and rotation
- 3 Give Lok Sabha's constitutional maximum, method of election, tenure and dissolution
- 4 What was deleted by the 104th Amendment 2020, and what is the current effective Lok Sabha maximum?
- 5 How and when was the number of Lok Sabha seats per State frozen? Until when?
- 6 Who chairs each House? What are their qualifications and powers?
- 7 Which House holds the Government to account through the confidence motion?

## 2. Session 2 - How a Bill Becomes an Act ★★★★★

The seven stages, one joint sitting, and the difference between a Bill introduced and a law enforced.

### MUST MASTER · THE SEVEN STAGES OF ORDINARY LEGISLATION

An ordinary bill goes through **each House** in three readings, then to the President for assent. The stages, in order:

#### In the House where introduced (or first House):

- 1 **1. FIRST READING** - the Bill is **introduced** by a Minister or a Private Member. The Minister asks leave to introduce; the House usually grants it. **No debate on merits at this stage** - it is largely a formal step
- 2 **2. SECOND READING** - the substantive stage, in two sub-stages: **general discussion** (broad principles debated), followed by **CLAUSE-BY-CLAUSE consideration** with amendments. **This is where the real deliberation happens**
- 3 **3. THIRD READING** - the House votes on the Bill as a whole. Only formal debate. If passed, the Bill is transmitted to the other House

#### In the other House (or second House):

- 1 **4-6. THREE READINGS** in the same pattern. The second House may pass the Bill as received, or with amendments, or reject it, or take no action

#### If both Houses have passed the Bill in identical form:

- 1 **7. PRESIDENT'S ASSENT** under Article 111. The President may:
  - 2 **Assent** - the Bill becomes an Act
  - 3 **Withhold assent** (rare and constitutionally awkward)
  - 4 **Return the Bill (except a Money Bill)** for reconsideration - but if the Houses pass it again with or without amendments, the President must assent
  - 5 On assent, the Bill becomes an **Act of Parliament** and is published in the Gazette

#### Two things worth noting about the stages:

- 1 **The COMMITTEE STAGE is often embedded in the Second Reading.** Bills are commonly referred to a Standing or Select Committee for detailed scrutiny before or during the Second Reading; the Committee reports back and the House then considers clause by clause
- 2 **A Bill in progress does not lapse when the Rajya Sabha's session ends** (because the Rajya Sabha is permanent), but Bills pending in the Lok Sabha or passed by the Lok Sabha but pending in the Rajya Sabha lapse on **dissolution of the Lok Sabha** - unless the Bill has been transmitted to the Rajya Sabha, the Rajya Sabha has passed it, and the Lok Sabha then dissolves before Presidential assent (in which case it survives). **The rules on lapsing are article-specific**



**MUST MASTER · JOINT SITTING UNDER ARTICLE 108 - THE RESOLUTION MECHANISM**

When the two Houses disagree on an ordinary bill, Article 108 provides for a **JOINT SITTING** to resolve the deadlock.

**A joint sitting may be summoned by the President if:**

- 1 The bill has been passed by one House and rejected by the other, OR
- 2 The bill has been passed by both Houses in different forms (amendments) and no agreement has been reached, OR
- 3 **More than SIX MONTHS have passed since the Bill was transmitted to the second House** without the second House passing it

**Presiding officer:** the **SPEAKER of the Lok Sabha**, or in his absence the Deputy Speaker, or in the absence of both the Deputy Chairman of the Rajya Sabha. **NOT the Chairman of the Rajya Sabha (the Vice-President).** This is a common trap - the Speaker presides even though it is a joint sitting

**Voting:** the Bill is deemed to have been passed by both Houses if agreed to by a **majority of the total number of MEMBERS of both Houses present and voting.**

**Because the Lok Sabha is much larger than the Rajya Sabha (543 vs 245), the Lok Sabha effectively dominates a joint sitting.** This is not accidental - it is the design point that the popularly elected House has the final say.

**Not available for MONEY BILLS or CONSTITUTIONAL AMENDMENTS** - joint sittings apply only to ordinary bills. Money Bills go under a different procedure (Session 3), and Constitutional Amendments require SPECIAL MAJORITIES in each House separately, not a joint sitting.

**Historically only three joint sittings have been held:** Dowry Prohibition Bill 1961, Banking Service Commission (Repeal) Bill 1978, and Prevention of Terrorism Bill 2002. **The mechanism exists but is rarely invoked**, because in practice one House usually gives way rather than force a joint sitting.

**KNOW · ORDINANCES - LAW-MAKING OUTSIDE SESSION**

The President may promulgate **ORDINANCES** under **Article 123** when Parliament is not in session and the circumstances appear to require immediate action. Every Ordinance:

- 1 Has the **same force and effect as an Act of Parliament**
- 2 Must be **laid before both Houses when they reassemble**
- 3 **CEASES TO OPERATE after SIX WEEKS from Parliament's reassembly** unless approved by both Houses within that period
- 4 Can be **withdrawn** by the President at any time

**So Ordinances are a temporary measure**, and their operation is limited by the requirement to convert them into ordinary legislation within a defined period. The **maximum total duration of an Ordinance from promulgation is roughly 7½ months** (session gap + 6 weeks).

**Article 213** provides an analogous power for **State Governors** during State Legislature recess.

**Ordinances have been controversial** where used to bypass debate, and the Supreme Court in **Krishna Kumar Singh v State of Bihar (2017)** held that **re-promulgating an ordinance without securing legislative approval is a fraud on the Constitution**. So ordinances cannot be indefinitely rolled over.

**CHECK YOURSELF · SESSION 2**

- 1 Recite the seven stages of an ordinary bill's passage
- 2 Which stage does substantive amendment happen at, and what is the committee stage?
- 3 Under what three conditions can a joint sitting be summoned?
- 4 Who presides at a joint sitting, and why not the Chairman of the Rajya Sabha?
- 5 Why does the Lok Sabha effectively dominate a joint sitting?
- 6 For which two categories is a joint sitting NOT available?
- 7 How many joint sittings have been held in Indian history?
- 8 Under what article may the President issue an Ordinance? What is its maximum operating period?

### 3. Session 3 - Money Bills, Financial Bills and Certification ★★★★★

The most examined distinction in this chapter, and the one that decides which House really matters for public finances.

#### MUST MASTER · WHAT A MONEY BILL IS - ARTICLE 110

A Bill is a **MONEY BILL** if it contains **ONLY** provisions dealing with any of the following matters, and NOTHING ELSE:

- 1 **Imposition, abolition, remission, alteration or regulation of any tax**
- 2 **Regulation of borrowing** by the Government of India
- 3 **Custody of the Consolidated Fund** or Contingency Fund of India, and payment of moneys into or the withdrawal of moneys from any such Fund
- 4 **Appropriation of moneys** out of the Consolidated Fund of India
- 5 **Declaration of any expenditure** as being expenditure "charged" on the Consolidated Fund
- 6 **Receipt of money** on account of the Consolidated Fund or the public account
- 7 Any matter **incidental** to any of the above

**Notice the key word: "ONLY".** A bill that includes any of the above **AND** other, non-financial provisions is NOT a Money Bill. **The exclusivity is what makes the certification decisive**, and it is why the paper focuses on this exclusion.

**One item that surprises candidates: a bill imposing a FINE or a demand for a service fee is NOT automatically a Money Bill**, because a fine or service fee is not a tax in the constitutional sense. The Speaker must certify.

**MUST MASTER · MONEY BILL PROCEDURE - THE SHARP ASYMMETRY**

- 1 A Money Bill **can be introduced ONLY in the Lok Sabha**, and only on the President's recommendation
- 2 Once passed by the Lok Sabha, it is transmitted to the Rajya Sabha
- 3 The **Rajya Sabha must return the Bill within FOURTEEN DAYS**, with or without recommendations
- 4 The Lok Sabha **may accept or REJECT** any Rajya Sabha recommendation. It is not bound to accept them
- 5 If the Rajya Sabha does NOT return the Bill within 14 days, it is **deemed to have been passed by both Houses in the form transmitted by the Lok Sabha**
- 6 It then goes to the President for assent

**Two consequences of this design:**

- 1 **The Rajya Sabha's role on Money Bills is ADVISORY only.** Its rejection cannot stop a Money Bill; its amendments can be ignored by the Lok Sabha. **This is the sharp asymmetry**
- 2 **There is no joint sitting on Money Bills.** The Rajya Sabha has no way to force a vote where its numbers count

**The reason for this design is the principle of financial accountability to the elected House.**

The Government is answerable to the Lok Sabha; the Lok Sabha is the popularly elected chamber; therefore control of the purse must rest with the Lok Sabha, not with a chamber elected indirectly.

**This is the same design principle that gives the elected Commons in the UK primacy over the appointed Lords on money matters, and it is the model India adopted.**

**The Speaker of the Lok Sabha DECIDES whether a Bill is a Money Bill (Article 110(3))** - and his certificate is **CONCLUSIVE**. Courts have historically been reluctant to review this certification, though in **Roger Mathew v South Indian Bank (2019)** the Supreme Court accepted that judicial review is theoretically available in extreme cases. **The Speaker's decision is nevertheless the practical answer in almost all situations.**

**COMMON UPSC TRAP · MONEY BILL VS FINANCIAL BILL - THE HIGHEST-VALUE DISTINCTION**

This is the source of more wrong answers in this territory than any other single point. Learn it as three types.

| Type                                           | Definition                                                                                                                      | Procedure                                                                                                                             |
|------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| <b>Money Bill (Art 110)</b>                    | Contains ONLY the six categories in Art 110(1); nothing else                                                                    | <b>Lok Sabha only origin, President's recommendation, Rajya Sabha 14 days advisory, Speaker's certification decisive</b>              |
| <b>Financial Bill Category I (Art 117(1))</b>  | Contains any of the Art 110 matters AND other matters                                                                           | <b>Lok Sabha only origin, President's recommendation, but treated as ordinary Bill in other respects</b> (Rajya Sabha has full power) |
| <b>Financial Bill Category II (Art 117(3))</b> | Contains provisions that would involve expenditure from the Consolidated Fund but do not touch the six Art 110 matters directly | <b>May be introduced in either House, but requires President's recommendation before consideration</b>                                |
| <b>Ordinary Bill</b>                           | Contains none of the above                                                                                                      | <b>Either House, no special executive recommendation, ordinary procedure</b>                                                          |

**The critical distinction:**

- 1 **A Money Bill is DEFINED by "only" - it contains only Article 110 matters. If it contains anything else, it is a Financial Bill Category I, not a Money Bill.** The paper often frames this to test whether candidates recognise the "only" limitation
- 2 **Financial Bills of BOTH categories can only be introduced in the Lok Sabha for Category I; both Houses for Category II**
- 3 **Only for Money Bills does the Rajya Sabha's role become advisory-only.** For Financial Bills, the Rajya Sabha retains its ordinary legislative power - so amendments can bind, and rejection matters

**The safe rule: any bill described as containing matters INCLUDING taxation but also other things is a Financial Bill, not a Money Bill.** Read the description carefully. If the bill is exclusively about taxes, appropriation or the Consolidated Fund, it may be a Money Bill; otherwise not.

**Historical example that clarifies it:** the **AADHAAR ACT 2016** was certified as a Money Bill and challenged. The Supreme Court upheld the certification in **KS Puttaswamy (Aadhaar case) (2018)** by majority, though there was a strong dissent. **The controversy showed exactly what a Speaker's certification can do:** bypassing the Rajya Sabha's amending power on legislation that touches taxation among other things.

### CHECK YOURSELF · SESSION 3

- 1 State the six matters that make a Bill a Money Bill under Article 110(1)
- 2 What is the significance of the word "ONLY" in Article 110(1)?
- 3 In which House can a Money Bill be introduced, and whose recommendation is required?
- 4 Give the 14-day rule and its consequences if the Rajya Sabha does not comply
- 5 Who certifies whether a Bill is a Money Bill, and is that certification reviewable?
- 6 Distinguish Money Bill, Financial Bill Category I, Financial Bill Category II, and Ordinary Bill
- 7 Why does the Rajya Sabha's power differ so sharply between Money Bills and Financial Bills?
- 8 Name the recent case that upheld Money Bill certification in a controversial context

## 4. Session 4 - The Budget Sequence ★★★★★

How money leaves the Central Government's account, from the moment the Finance Minister presents it to the moment your salary is paid.

### START FROM ZERO · THE THREE FUNDS

Before the budget sequence, understand the three funds of the Central Government.

**1. CONSOLIDATED FUND OF INDIA (Article 266(1))** - the principal fund. **All revenues received by the Government, all loans raised, and all money received in repayment of loans go into this fund. All expenditure of Government is made from this fund**, and every withdrawal requires **authorisation by Parliament through an Appropriation Act**. So no rupee leaves the Consolidated Fund without a specific parliamentary vote (or a "charged" appropriation, discussed below).

**2. PUBLIC ACCOUNT OF INDIA (Article 266(2))** - the fund for **monies received by the Government other than revenues** - deposits, provident funds of Government employees, small savings collections, remittances, etc. The Government acts as a **BANKER**, not as an owner, for these funds. **Withdrawals from the Public Account do NOT require parliamentary authorisation** because the money doesn't belong to the Government.

**3. CONTINGENCY FUND OF INDIA (Article 267)** - a corpus at the President's disposal to meet **UNFORESEEN EXPENDITURE** pending parliamentary authorisation. It is a small fund (approximately Rs 30,000 crore, CONFIRM) and is used only for emergencies. **Expenditure from the Contingency Fund is later regularised** by an appropriation from the Consolidated Fund.

**One point worth stressing for the EPF administrator:** the Government's **1.16% contribution to the Employees' Pension Scheme** is charged to the Consolidated Fund; the ELI scheme's outlay is voted from the Consolidated Fund. **The link between Parliament's approval and your organisation's finances is direct.**

### MUST MASTER · THE BUDGET SEQUENCE - FOUR STAGES

The Annual Financial Statement, popularly called the Budget, is required by **Article 112** to be laid before Parliament before the beginning of each financial year (which begins **1 April**). Presentation is usually on **1 February** since 2017 (moved forward from the last day of February to give more time for parliamentary approval).

#### STAGE 1 - Presentation and General Discussion.

- 1 The **Finance Minister** presents the Budget in the **Lok Sabha**
- 2 It contains the **Annual Financial Statement** (estimates of receipts and expenditure for the coming year)
- 3 For a few days after presentation, **only general discussion** takes place - no motions, no voting
- 4 The Budget is then usually referred to Standing Committees for detailed scrutiny (Departmentally Related Standing Committees)

#### STAGE 2 - Voting on DEMANDS FOR GRANTS.

- 1 Each Ministry's estimated expenditure is put to the House as a **Demand for Grant**
- 2 The Lok Sabha votes on each Demand separately - it can approve, reject or reduce
- 3 **The Rajya Sabha discusses but does NOT vote on Demands for Grants** - another manifestation of Lok Sabha primacy on money
- 4 **CUT MOTIONS** may be moved to reduce a Demand: Policy Cut (to Rs 1, symbolic), Economy Cut (specific reduction), Token Cut (Rs 100, to draw attention to a grievance)

#### STAGE 3 - The APPROPRIATION BILL.

- 1 Once all Demands are voted, an **Appropriation Bill** is introduced to authorise withdrawal of the total amount from the Consolidated Fund
- 2 Passes as a **Money Bill** (Rajya Sabha 14-day advisory rule applies)
- 3 On Presidential assent it becomes the **Appropriation Act** for the year
- 4 **Only then can withdrawals from the Consolidated Fund lawfully occur.** Note - not before

#### STAGE 4 - The FINANCE BILL.

- 1 Contains the taxation proposals for the coming year - amendments to income tax, GST, customs, etc.
- 2 **Passes as a Money Bill**, subject to the 14-day Rajya Sabha rule
- 3 On Presidential assent becomes the **Finance Act**
- 4 **This is what implements the tax proposals announced in the Budget**

#### Two additional mechanisms worth naming:

- 1 **VOTE ON ACCOUNT (Article 116)** - because the Budget process may not be completed before 1 April, Parliament may sanction **advance payments for two months** to keep Government functioning. It is a temporary appropriation, later regularised by the full Appropriation Act
- 2 **SUPPLEMENTARY, ADDITIONAL, EXCESS grants** - additional appropriations sanctioned during the year (Article 115). Excess Grant is retrospective - to cover expenditure actually incurred in excess of the vote, subject to later Parliamentary approval

**CHARGED VS VOTED EXPENDITURE.** Some expenditure is **CHARGED on the Consolidated Fund** and is **NOT VOTED** - Parliament discusses it but cannot vote to reject. Examples: **emoluments of the President, judges of the Supreme Court and High Courts, the CAG, the Chairman and Deputy Chairman of Rajya Sabha, the Speaker and Deputy Speaker of Lok Sabha, interest and debt-servicing** on public debt. The **purpose is institutional independence** - these payments cannot be held hostage by a political majority in the Lok Sabha.

#### KNOW · THE RAILWAY BUDGET IS NO LONGER SEPARATE

Since **2017 the Railway Budget has been MERGED with the General Budget**. Historically the Railway Budget was presented a few days before the General Budget, dating from the colonial period when railway finances were the largest single item of public expenditure. **The merger in 2017 recognised that this separation was no longer practically necessary and reduced the parliamentary workload.**

This is a fact examiners like because it is recent, definite and easy to test.

#### CHECK YOURSELF · SESSION 4

- 1 Name the three funds of the Central Government, with their governing articles
- 2 Which fund requires parliamentary authorisation for every withdrawal?
- 3 When is the Union Budget presented, and by whom?
- 4 Recite the four stages of the budget sequence
- 5 Explain Cut Motions (Policy, Economy, Token)
- 6 What is the Appropriation Bill for, and how does it pass?
- 7 What is the Finance Bill for?
- 8 Under what article does a Vote on Account operate, and for how long?
- 9 Name three items charged on (not voted from) the Consolidated Fund
- 10 When was the Railway Budget merged with the General Budget?

## 5. Session 5 - Committees, Privileges, Connection to Your Desk ★★★★★

### MUST MASTER · PARLIAMENTARY COMMITTEES - THE WORKING MACHINERY

Because a body of 543+245 members cannot itself scrutinise thousands of bills and reports, most of Parliament's real work is done in COMMITTEES. Learn them as three types.

**1. STANDING COMMITTEES - continuous, regular business.** The most important are:

- 1 **Public Accounts Committee (PAC)** - 22 members (15 LS + 7 RS), examines the CAG's reports and audit findings on Government expenditure. **Chaired by an OPPOSITION MP** by convention since 1967 - important accountability point
- 2 **Estimates Committee** - 30 members from Lok Sabha only. Examines estimates presented to the House and suggests economies
- 3 **Committee on Public Undertakings** - 22 members, examines the reports and accounts of central public sector enterprises
- 4 **Departmentally Related Standing Committees (DRSCs) - 24 committees** (17 with Lok Sabha membership, 7 with Rajya Sabha membership), each attached to a group of ministries. **THEY EXAMINE THE BUDGET DEMANDS for their ministries** and any Bills referred to them
- 5 **Business Advisory Committee, Committee on Rules, Committee on Petitions, etc.** - internal committees

**2. AD HOC COMMITTEES - for specific Bills or matters.**

- 1 **Select Committees** - members of one House, examining a Bill referred to them
- 2 **Joint Parliamentary Committees (JPCs)** - members of both Houses. Examples: JPC on 2G spectrum, JPC on Waqf Amendment Bill 2024

**3. FINANCIAL COMMITTEES**

- 1 PAC, Estimates Committee, and Committee on Public Undertakings are also grouped as the three **financial committees**

**The 24 DRSCs are important practically:** for the Labour and Employment Ministry (which oversees EPFO), there is a **Standing Committee on Labour, Textiles and Skill Development**. That Committee has scrutinised Bills including the four Labour Codes, and its reports are public policy documents. **EPFO is answerable to the CBT, but its parent Ministry is answerable to this Committee**, and its recommendations often shape amendments.

**A "which of the following is a financial committee" question expects PAC + Estimates + PUC, and only these three.** Others (like DRSCs) are Standing Committees but not the three "financial" ones.



**KNOW · PRIVILEGES OF MEMBERS - ARTICLE 105**

Members of Parliament enjoy certain privileges to protect their independent functioning. Article 105 confers:

- 1 **FREEDOM OF SPEECH IN PARLIAMENT** - no MP may be prosecuted for anything said in the House or in its Committees. **This is absolute within the House, not qualified**
- 2 **IMMUNITY FROM PROCEEDINGS FOR VOTES CAST** - no proceeding lies for a vote given in Parliament
- 3 **RIGHTS OF THE HOUSE COLLECTIVELY** - to publish papers, to punish for contempt, to regulate its own procedure

**Two limitations worth stressing:**

- 1 **The immunity for speech applies only WITHIN the House.** An MP who repeats a defamatory statement outside Parliament loses the immunity for that external speech
- 2 **The immunity does not extend to CRIMINAL ACTS.** An MP taking a bribe to speak or vote is not protected. The Supreme Court in **Sita Soren v Union of India (2024)** overruled the earlier PV Narasimha Rao position and held that bribery for votes or speeches within Parliament is prosecutable

**The 2024 Sita Soren case is a major recent development in this territory** - it removed what had been a controversial exemption from prosecution for legislators. The paper may test the current position (bribery is prosecutable) versus the older (which held it was not).

**Contempt of the House.** Parliament may punish for **contempt** - conduct that obstructs its work or brings it into disrepute. This includes disorderly conduct by members, and (rarely) statements by non-members that grossly attack the House. **This is a self-regulating power**; courts have generally not interfered.

**MUST MASTER · THE CHAIN TO YOUR DESK - COMPLETED**

Recall the spine you have been building since F1.1. Now with Parliament's role explicit:

**Karachi Resolution 1931** → **Art 39, 41, 42, 43** (Directive Principles) → Part IV non-justiciable → **Parliament acts voluntarily**, drawing competence from **Concurrent Entries 23 and 24** with Article 246 → **enacts the EPF & MP Act 1952** using its ordinary legislative process (**seven stages, three readings in each House, Presidential assent**) → under it the Central Government **frames three Schemes** (EPF, EPS, EDLI) which are subordinate legislation, notified in the Gazette, amendable without amending the parent Act → **EPFO** as a statutory body under the Ministry of Labour and Employment → **EPFO is "State" under Article 12** → your Section 7A power is **quasi-judicial** and bound by **Article 14 and Article 21** as read in *Maneka Gandhi* → from you an appeal lies under **s.7-I to the CGIT** as EPF Appellate Tribunal → and thereafter **to the High Court under Article 226**, typically seeking **certiorari**.

**Now note where Parliament sits in this chain:**

- 1 Parliament **enacted your parent Act** and can amend it (with normal legislative procedure)
- 2 Parliament **decides your organisation's administrative budget** and the Central Government's contribution to EPS through the annual Appropriation Act
- 3 Parliament, through its **Standing Committee on Labour**, scrutinises the Ministry's policies and thus indirectly your organisation's direction
- 4 Parliament **cannot direct you** in your quasi-judicial capacity (an APFC's Section 7A determinations are judicial, not political) - but Parliament sets the **RULES** under which you act

**And note where you sit in Parliament's own budget document.** Look at the Ministry of Labour and Employment's Demand for Grants, and you will find EPFO's establishment expenses and the Central Government's contribution to EPS. **When the Lok Sabha votes on those Demands, it is authorising the money that pays your salary.** That connection is worth understanding directly - it is why F1.5 has to come before you can properly claim to understand your job.

**CHECK YOURSELF · SESSION 5**

- 1 Name the three financial committees, and identify who chairs the PAC by convention
- 2 How many DRSCs are there, and what do they do?
- 3 Distinguish a Select Committee from a Joint Parliamentary Committee
- 4 State the two immunities under Article 105
- 5 What did *Sita Soren v Union of India* (2024) decide, and what did it overrule?
- 6 State the full chain from the Karachi Resolution to Article 226, including Parliament's role
- 7 Which Standing Committee scrutinises the Labour Ministry's Bills and budget?
- 8 From which Demand for Grants would EPFO's administrative expenses come?

## 6. Graded Practice - 42 Questions ★★★★★

---

### 6.1 Level 1 - Recognition

**Q. 1. The constitutional maximum strength of the Rajya Sabha is**

(a) 238 (b) 245 (c) 250 (d) 552

**Q. 2. The number of members nominated to the Rajya Sabha by the President is**

(a) 6 (b) 10 (c) 12 (d) 15

**Q. 3. The tenure of a Rajya Sabha member is**

(a) 4 years (b) 5 years (c) 6 years (d) 7 years

**Q. 4. One-third of Rajya Sabha members retire every**

(a) 1 year (b) 2 years (c) 3 years (d) 4 years

**Q. 5. The constitutional maximum strength of the Lok Sabha (pre-2020 amendment) was**

(a) 500 (b) 543 (c) 550 (d) 552

**Q. 6. The provision for two nominated Anglo-Indian members of the Lok Sabha was deleted by the**

(a) 84th Amendment (b) 101st Amendment (c) 104th Amendment (d) 106th Amendment

**Q. 7. The minimum age for a member of the Rajya Sabha is**

(a) 25 (b) 28 (c) 30 (d) 35

**Q. 8. The minimum age for a member of the Lok Sabha is**

(a) 21 (b) 25 (c) 28 (d) 30

**Q. 9. The Chairman of the Rajya Sabha is**

(a) elected by members of the Rajya Sabha (b) the Vice-President of India, ex officio (c) appointed by the President (d) the Prime Minister

**Q. 10. A joint sitting is provided for by**

(a) Article 105 (b) Article 108 (c) Article 110 (d) Article 112

**Q. 11. A joint sitting is presided over by**

(a) the Chairman of the Rajya Sabha (b) the Speaker of the Lok Sabha (c) the Prime Minister (d) the President

**Q. 12. The number of joint sittings held in Indian parliamentary history is**

(a) one (b) three (c) five (d) more than ten

**Q. 13. A Money Bill is defined in**

(a) Article 108 (b) Article 110 (c) Article 112 (d) Article 117

**Q. 14. The Rajya Sabha must return a Money Bill within**

(a) 7 days (b) 14 days (c) 30 days (d) 3 months

**Q. 15. The certifying authority for whether a Bill is a Money Bill is the**

(a) Chairman of the Rajya Sabha (b) Speaker of the Lok Sabha (c) President (d) Attorney General

**Q. 16. An Ordinance is promulgated under**

(a) Article 112 (b) Article 123 (c) Article 213 (d) Article 356

**Q. 17. An Ordinance ceases to operate after Parliament reassembles unless approved within**

(a) 6 weeks (b) 3 months (c) 6 months (d) 1 year

**Q. 18. The Consolidated Fund of India is provided for by**

(a) Article 266(1) (b) Article 266(2) (c) Article 267 (d) Article 280

## 6.2 Level 2 - Understanding

**Q. 19. Bicameralism was chosen for India principally to**

(a) delay all legislation (b) provide federal representation, continuity and expertise (c) reduce the role of the Prime Minister (d) match the British model exactly

**Q. 20. The Vice-President of India is**

(a) a member of the Rajya Sabha and its Chairman (b) the Chairman of the Rajya Sabha but not himself a member (c) a member of the Lok Sabha and its Chairman (d) not connected with either House

**Q. 21. The Lok Sabha's seat allocation per State was frozen by the 42nd Amendment on the basis of**

(a) the 1951 census (b) the 1971 census (c) the 1991 census (d) the 2001 census

**Q. 22. The 84th Amendment (2001) extended the freeze until**

(a) the 2021 census (b) the first census after 2026 (c) 2050 (d) permanently

**Q. 23. A Money Bill differs from a Financial Bill Category I chiefly in that**

(a) it contains no financial provisions (b) it contains ONLY matters in Article 110(1) - no other matter (c) it can be introduced in either House (d) it does not require the President's recommendation

**Q. 24. A joint sitting is NOT available for**

(a) Money Bills and constitutional amendments (b) all ordinary Bills (c) private members' Bills (d) any Bill from the Rajya Sabha

**Q. 25. The Rajya Sabha's role on a Money Bill is**

(a) equal to the Lok Sabha's (b) advisory only - it may recommend, but its rejection or amendment cannot bind the Lok Sabha (c) can amend but not reject (d) can reject but not amend

**Q. 26. Which one of the following is charged on the Consolidated Fund of India rather than voted?**

(a) The Prime Minister's salary (b) The salaries of judges of the Supreme Court and High Courts (c) The Members of Parliament's daily allowance (d) The Ministry of Home Affairs' budget

**Q. 27. A Cut Motion of Rs 1 that expresses fundamental disagreement with the policy underlying a Demand is a**

(a) Token Cut (b) Economy Cut (c) Policy Cut (d) Suspension Cut

**Q. 28. Vote on Account under Article 116 is used to**

(a) permanently reduce a Demand (b) sanction two months' advance payments while the full budget process is completed (c) transfer money from one Demand to another (d) authorise supplementary grants

**Q. 29. Which one of the following happens FIRST in the budget sequence?**

(a) Passage of the Appropriation Bill (b) Presentation of the Budget by the Finance Minister (c) Voting on Demands for Grants (d) Presidential assent to the Finance Bill

**Q. 30. The Public Accounts Committee is chaired by**

(a) the Speaker (b) by convention, an MP from the OPPOSITION (c) the Prime Minister (d) the Leader of the Rajya Sabha

**Q. 31. The number of Departmentally Related Standing Committees is**

(a) 12 (b) 17 (c) 20 (d) 24

**Q. 32. Article 105 confers on Members of Parliament**

(a) immunity from criminal law (b) freedom of speech in Parliament and immunity for votes cast (c) automatic election to State Legislatures (d) tax exemption

**Q. 33. In Sita Soren v Union of India (2024), the Supreme Court held that**

(a) all criticism of Parliament is unlawful (b) bribery for speeches or votes in Parliament is prosecutable, overruling the earlier position (c) MPs may be prosecuted for anything said in Parliament (d) MPs enjoy no immunity at all

**6.3 Level 3 - Recruitment Test standard****Q. 34. Match List-I with List-II and select the correct answer using the code below:**

| List-I                        | List-II           |
|-------------------------------|-------------------|
| A. Money Bill                 | 1. Article 108    |
| B. Joint Sitting              | 2. Article 110    |
| C. Ordinances                 | 3. Article 123    |
| D. Consolidated Fund of India | 4. Article 266(1) |

(a) A-2 B-1 C-3 D-4 (b) A-1 B-2 C-3 D-4 (c) A-2 B-3 C-1 D-4 (d) A-2 B-1 C-4 D-3

**Q. 35. Consider the following statements:**

- 1 Money Bills can be introduced only in the Lok Sabha, and only on the President's recommendation.
- 2 The Rajya Sabha must return a Money Bill within 14 days.
- 3 The Speaker of the Lok Sabha's certification that a Bill is a Money Bill is conclusive.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

**Q. 36. Which one of the following statements about Ordinances is not correct?**

(a) They may be promulgated only when Parliament is not in session (b) They have the same force as an Act of Parliament (c) They must be laid before both Houses when they reassemble and cease to operate after 6 weeks unless approved (d) The Supreme Court has held that indefinite re-promulgation is constitutionally valid

**Q. 37. Consider the following statements:**

- 1 The Public Accounts Committee is a financial committee with 22 members drawn from both Houses.
- 2 It is chaired by convention by an MP from the Opposition since 1967.
- 3 Its function is to examine the CAG's reports.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

**Q. 38. Arrange the following in the correct chronological order of the budget process:**

- 1 Voting on Demands for Grants
- 2 Presidential assent to the Finance Act
- 3 Presentation of the Budget
- 4 Passage of the Appropriation Bill

(a) 3, 1, 4, 2 (b) 3, 4, 1, 2 (c) 3, 1, 2, 4 (d) 1, 3, 4, 2

**Q. 39. Which one of the following statements is not correct?**

(a) The Rajya Sabha is a permanent body that is never dissolved (b) The Lok Sabha's term can be extended during National Emergency by one year at a time (c) A joint sitting resolves disagreements on constitutional amendment bills (d) The Chairman of the Rajya Sabha is the Vice-President ex officio

**Q. 40. Consider the following statements about the differences between the Rajya Sabha and the Lok Sabha:**

- 1 The Rajya Sabha cannot pass a no-confidence motion against the Government.
- 2 The Lok Sabha alone votes on Demands for Grants; the Rajya Sabha discusses but does not vote.
- 3 The Chairman of the Rajya Sabha is not a member of the Rajya Sabha.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

**Q. 41. An APFC exercises a power conferred by**

(a) Article 226 (b) the EPF & MP Act 1952, enacted by Parliament (c) the Constitution directly (d) an executive order of the Ministry

**Q. 42. The Central Government's 1.16% contribution to EPS is drawn from**

(a) the Public Account of India (b) the Consolidated Fund of India, authorised annually by the Appropriation Act (c) the Contingency Fund (d) contributions of States

## 7. Answers and Explanations

### 7.1 Level 1

| Q | Ans | Explanation                                                                                        |
|---|-----|----------------------------------------------------------------------------------------------------|
| 1 | c   | <b>250</b> - constitutional maximum. Actual strength around 245                                    |
| 2 | c   | <b>12</b> nominated by the President for excellence in literature, science, art and social service |
| 3 | c   | <b>6 years</b>                                                                                     |
| 4 | b   | <b>2 years</b> - one-third retirement every 2 years                                                |
| 5 | d   | <b>552</b> - pre-2020 constitutional maximum; effective 550 after 104th Amendment                  |

| Q  | Ans | Explanation                                                                                        |
|----|-----|----------------------------------------------------------------------------------------------------|
| 6  | c   | <b>104th Amendment (2020)</b>                                                                      |
| 7  | c   | <b>30</b>                                                                                          |
| 8  | b   | <b>25</b>                                                                                          |
| 9  | b   | <b>Vice-President of India, ex officio.</b> He is not a member                                     |
| 10 | b   | <b>Article 108</b>                                                                                 |
| 11 | b   | <b>Speaker of the Lok Sabha</b> - not the Chairman of the Rajya Sabha, common trap                 |
| 12 | b   | <b>Three</b> - Dowry Prohibition 1961, Banking Service Commission Repeal 1978, POTA 2002           |
| 13 | b   | <b>Article 110</b>                                                                                 |
| 14 | b   | <b>14 days</b> , or it is deemed passed                                                            |
| 15 | b   | <b>Speaker of the Lok Sabha</b> - conclusive under Article 110(3), subject to rare judicial review |
| 16 | b   | <b>Article 123</b> (Presidential Ordinance) or Article 213 (State Governor)                        |
| 17 | a   | <b>6 weeks</b> from reassembly of Parliament                                                       |
| 18 | a   | <b>Article 266(1)</b>                                                                              |

## 7.2 Level 2

| Q  | Ans | Explanation                                                                                                                                                   |
|----|-----|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 19 | b   | <b>Federal representation</b> (Rajya Sabha for States), <b>continuity</b> (permanent Rajya Sabha vs dissolvable Lok Sabha), <b>expertise</b> (12 nominations) |
| 20 | b   | <b>Chairman but not a member.</b> He presides ex officio without being an elected/nominated member                                                            |
| 21 | b   | <b>1971 census</b> - frozen by the 42nd Amendment as a population-control incentive                                                                           |
| 22 | b   | <b>First census after 2026</b> - by the 84th Amendment 2001                                                                                                   |
| 23 | b   | <b>Contains ONLY Article 110(1) matters, nothing else.</b> The word "only" is decisive                                                                        |
| 24 | a   | <b>Money Bills and constitutional amendments</b> - special procedures apply                                                                                   |
| 25 | b   | <b>Advisory only</b> - the sharp asymmetry                                                                                                                    |
| 26 | b   | <b>Judges' salaries</b> are charged - to protect judicial independence. Judges' salaries are discussed but not voted                                          |
| 27 | c   | <b>Policy Cut</b> - Rs 1 symbolic, expresses fundamental disagreement                                                                                         |
| 28 | b   | <b>Two months' advance payments</b> to keep Government going until the Appropriation Act                                                                      |
| 29 | b   | <b>Budget presentation</b> comes first, then voting on Demands, then Appropriation Bill, then Finance Bill                                                    |
| 30 | b   | <b>By convention (since 1967), an Opposition MP</b> chairs the PAC - important accountability point                                                           |
| 31 | d   | <b>24 DRSCs</b>                                                                                                                                               |
| 32 | b   | <b>Freedom of speech in Parliament and immunity for votes</b> - not immunity from criminal law generally                                                      |
| 33 | b   | <b>Bribery for speech or vote in Parliament is prosecutable</b> - overruling PV Narasimha Rao 1998                                                            |

## 7.3 Level 3

| Q  | Ans      | Explanation                                                                                                                                                                       |
|----|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 34 | <b>a</b> | <b>A-2</b> Money Bill = Art 110; <b>B-1</b> Joint Sitting = Art 108; <b>C-3</b> Ordinance = Art 123; <b>D-4</b> Consolidated Fund = Art 266(1)                                    |
| 35 | <b>d</b> | <b>All three correct</b> - the three key structural facts about Money Bills                                                                                                       |
| 36 | <b>d</b> | <b>(d) is FALSE.</b> In Krishna Kumar Singh v State of Bihar (2017), the SC held indefinite re-promulgation is a <b>fraud on the Constitution</b> , i.e. constitutionally invalid |
| 37 | <b>d</b> | <b>All three correct</b> - the PAC as a financial committee, chaired by Opposition, examining CAG reports                                                                         |
| 38 | <b>a</b> | <b>3, 1, 4, 2</b> - Presentation, then Demands, then Appropriation, then Finance Bill                                                                                             |
| 39 | <b>c</b> | <b>(c) is FALSE.</b> Joint sittings do NOT apply to constitutional amendments - they require special majorities in each House separately                                          |
| 40 | <b>d</b> | <b>All three correct</b> - the three most important RS-LS distinctions in the paper                                                                                               |
| 41 | <b>b</b> | <b>Parliament's Act.</b> Not Article 226 (that is the review route), not the Constitution directly, not an executive order. The APFC's power is statutory                         |
| 42 | <b>b</b> | <b>Consolidated Fund, via annual Appropriation Act.</b> This connects Parliament's budget to your organisation's finances                                                         |



## 8. One-Minute Revision

### ONE-MINUTE REVISION · CHAPTER F1.5 - PARLIAMENT AND FINANCIAL PROCEDURE

**WHY PARLIAMENT MATTERS** it enacted **every statute you administer** · the F1.4 chain: Karachi Resolution 1931 → Art 39/41/42/43 (non-justiciable Part IV) → Parliament acts voluntarily under Concurrent Entries 23-24 with Art 246 → **EPF & MP Act 1952** and every other social security statute

#### **RAJYA SABHA - Council of States**

- 1 **Constitutional max 250** · actual **245** · **238 elected + 12 nominated**
- 2 Nominations for **literature, science, art, social service**
- 3 **INDIRECT election** by PR-STV by State Legislative Assemblies (Fourth Schedule)
- 4 **Tenure 6 years per member** · House is **PERMANENT** · **1/3 retire every 2 years**
- 5 **Min age 30**
- 6 **Chairman = VICE-PRESIDENT ex officio, NOT a member** · Deputy Chairman elected

#### **LOK SABHA - House of the People**

- 1 **Constitutional max 552** · actual **543** · **550 effective after 104th Amendment 2020** deleted the 2 Anglo-Indian nominees
- 2 **DIRECT election, first-past-the-post, single-member territorial constituencies**
- 3 **Tenure 5 years**, dissolvable early; extended by **1 year at a time during National Emergency**
- 4 **Min age 25**
- 5 **Speaker + Deputy Speaker**, elected from members
- 6 **Seats FROZEN by 42nd Amendment on 1971 census; 84th Amendment 2001 extended freeze until FIRST CENSUS AFTER 2026** - population-control incentive
- 7 **SC/ST reserved seats** under Art 330

#### **KEY ASYMMETRIES**

- 1 **Only Lok Sabha can pass a No-Confidence Motion** - Government answerable to Lok Sabha
- 2 **Only Lok Sabha VOTES on Demands for Grants**; Rajya Sabha discusses only
- 3 **Money Bills: Rajya Sabha ADVISORY only, 14 days**
- 4 **Chairman of RS is NOT a member of RS** - common trap

#### **LEGISLATIVE PROCESS - 7 stages**

- 1 First House: **1 First Reading (introduction)** · **2 Second Reading (general + clause-by-clause; committee stage embedded)** · **3 Third Reading (vote on whole)**
- 2 Second House: same three readings (4-6)
- 3 **7 President's assent (Art 111)** - may withhold once; second passage compels assent

#### **JOINT SITTING - Art 108**

- 1 Called by President if: bill rejected by other House, OR passed in different forms with no agreement, OR **6 months** elapsed without action
- 2 **PRESIDED BY THE SPEAKER of Lok Sabha** (not RS Chairman - trap)
- 3 Voting: majority of members of BOTH Houses present and voting
- 4 Lok Sabha (543) dominates over Rajya Sabha (245) - design point
- 5 **NOT for Money Bills, NOT for Constitutional Amendments**
- 6 **Only 3 joint sittings in Indian history**: Dowry Prohibition 1961 · Banking Service Commission Repeal 1978 · POTA 2002

#### **ORDINANCES - Art 123 (President) / Art 213 (Governor)**

- 1 Only when Parliament / State Legislature not in session
- 2 **Same force as Act · laid on reassembly · CEASES after 6 WEEKS unless approved**
- 3 Max effective duration ~7½ months
- 4 **Krishna Kumar Singh v Bihar 2017**: indefinite re-promulgation is **fraud on the Constitution**

#### **MONEY BILL - Art 110 - the highest-value distinction**

- 1 Contains **ONLY** matters in Art 110(1): taxes · borrowing · Consolidated/Contingency Fund · appropriation · charged expenditure · receipts · incidental
- 2 **The word "ONLY" is decisive** - anything else and it is NOT a Money Bill
- 3 **Introduced ONLY in Lok Sabha, on President's recommendation**
- 4 **Rajya Sabha: 14 DAYS, advisory only** - if silent, deemed passed
- 5 **Speaker's certification is CONCLUSIVE** (Art 110(3); Roger Mathew 2019 allowed extreme-case review)
- 6 **AADHAAR Act 2016** - certified as Money Bill, upheld in Puttaswamy (Aadhaar) 2018 by majority

#### **FINANCIAL BILLS**

- 1 **Category I (Art 117(1))** - contains Art 110 matters PLUS other matters. **Lok Sabha origin, President's recommendation, but treated as ORDINARY BILL in other respects - Rajya Sabha has full power**
- 2 **Category II (Art 117(3))** - involves Consolidated Fund expenditure but not Art 110 matters. **Either House, but President's recommendation for consideration**

#### **THREE FUNDS**

- 1 **Consolidated Fund of India - Art 266(1)** - all revenue, loans; withdrawals need PARLIAMENTARY AUTHORISATION (Appropriation Act) unless charged
- 2 **Public Account of India - Art 266(2)** - deposits, PFs, small savings; Government is BANKER; no Parliamentary vote needed
- 3 **Contingency Fund - Art 267** - unforeseen expenditure, at President's disposal, ~Rs 30,000 crore (CONFIRM), later regularised

#### **BUDGET SEQUENCE**

- 1 Presented **1 February** in Lok Sabha by Finance Minister (moved from last day of Feb in 2017; Railway Budget merged same year)
- 2 **Stage 1: General Discussion** (no votes)
- 3 **Stage 2: VOTING ON DEMANDS FOR GRANTS** (Lok Sabha only) · Cut Motions: **Policy (Rs 1) · Economy (specific reduction) · Token (Rs 100 for grievance)**
- 4 **Stage 3: APPROPRIATION BILL** authorises withdrawal from Consolidated Fund - passes as Money Bill
- 5 **Stage 4: FINANCE BILL** implements tax proposals - passes as Money Bill

#### **OTHER GRANTS**

- 1 **Vote on Account (Art 116) - 2 months' advance** while budget process completes
- 2 **Supplementary, Additional, Excess Grants** (Art 115) during the year

#### **CHARGED vs VOTED**

- 1 **Charged**: emoluments of **President, SC/HC judges, CAG, Chairman/Dy Ch of RS, Speaker/Dy of LS, interest on public debt** - **discussed but NOT voted** - institutional independence

#### **PARLIAMENTARY COMMITTEES**

- 1 **Three financial committees: PAC (22 members, 15 LS + 7 RS, chaired by OPPOSITION MP by convention since 1967, examines CAG reports) · Estimates Committee (30 members, LS only) · Committee on Public Undertakings (22 members)**
- 2 **24 DRSCs** - one for each ministry group, scrutinise Budget Demands and referred Bills
- 3 **Standing Committee on Labour, Textiles and Skill Development** covers EPFO's parent ministry
- 4 **Ad hoc:** Select Committees (one House) · **JPCs** (both Houses)

#### **PRIVILEGES - Art 105**

- 1 **Freedom of speech in Parliament** (absolute, within House only)
- 2 **Immunity for votes cast**
- 3 Rights of the House collectively (contempt power)
- 4 **Sita Soren v Union of India 2024: bribery for speech/vote in Parliament IS PROSECUTABLE**, overruling PV Narasimha Rao 1998

#### **CHAIN TO YOUR DESK, WITH PARLIAMENT'S ROLE EXPLICIT**

- 1 Parliament enacted the EPF Act 1952 and can amend it
- 2 Parliament decides EPFO's admin budget and CG's 1.16% to EPS through the annual Appropriation Act
- 3 Parliament, via the Standing Committee on Labour, scrutinises the Ministry's policies
- 4 Parliament CANNOT direct you in your quasi-judicial capacity (Art 14 + Art 21 protect the record) but sets the rules

## 9. Five-Minute Wall Sheet

### FIVE-MINUTE WALL SHEET · CHAPTER F1.5 - PARLIAMENT

**RS:** max 250, 238 elected + 12 nominated (lit/science/art/social), 6-yr terms, 1/3 every 2 yrs, min age 30, permanent

**LS:** max 552 (eff 550 after 104th 2020), direct FPP, 5 yrs, min age 25, seats frozen on 1971 census till 1st census after 2026

**RS Chairman = VP ex officio, NOT member · LS = Speaker**

**Only LS: No-confidence motion · Vote on Demands · Money Bill origin**

**7 STAGES: 1 First Reading · 2 Second (general + clause + committee) · 3 Third · 4-6 same in 2nd House · 7 President assent (Art 111)**

**JOINT SITTING Art 108: rejected/differed/6-months-elapsed · Speaker presides · majority of BOTH Houses present-and-voting · NOT Money/Amendment · 3 in history (1961, 1978, 2002)**

**Ordinances Art 123 · 6 weeks after reassembly · Krishna Kumar Singh 2017: indefinite re-promulgation = fraud**

**MONEY BILL Art 110: ONLY Art 110(1) matters · LS only origin, President's recommendation · RS 14 DAYS advisory · Speaker CONCLUSIVE (Puttaswamy Aadhaar 2018, Roger Mathew 2019)**

**FIN BILL I: 110-matters + other · LS + President · RS full power · FIN BILL II: Consolidated Fund but not 110-matters · either House + President**

**Funds: Consolidated Art 266(1) · Public Account 266(2) · Contingency 267**

**BUDGET: 1 Feb by FM in LS · general discussion · Demands for Grants (LS only, Cut**

**Motions: Policy Rs 1, Economy specific, Token Rs 100) · Appropriation Bill (Money Bill) · Finance Bill (Money Bill)**

**Vote on Account (Art 116) = 2 MONTHS advance**

**Charged (not voted): President, SC/HC judges, CAG, RS Ch/Dy, LS Speaker/Dy, debt interest**

**Railway Budget merged with General 2017**

**FINANCIAL COMMITTEES: PAC (22, Opposition-chaired since 1967) · Estimates (30, LS only) · PUC (22)**

**24 DRSCs · Standing Committee on Labour covers EPFO ministry**

**Art 105: speech in House (absolute) · vote immunity · Sita Soren 2024: bribery**

**PROSECUTABLE (overruled PV Narasimha Rao)**

**Only 3 joint sittings ever · Money Bill has no joint sitting mechanism**

**Aadhaar Act 2016 Money Bill controversy - upheld Puttaswamy 2018**